Contract No. 11019429

LEASE CONTRACT

This **Lease Contract** is entered into by the Lessor and the Lessee named hereunder, who agree as follows:

SECTION I - SUMMARY OF BASIC LEASE PROVISIONS

LESSOR	
Name	SM PRIME HOLDINGS INC
Address	MALL OF ASIA ARENA ANNEX BLDG CORAL WAY COR J W DIOKNO BLVD MOA COMPLEX CBP IA PASAY CITY 1300
Authorized Representative	LUZ S. KUIZON, Authorized Representative, Or SUZARA Y. TEE, Authorized Representative

LESSEE	
Name	MARY GRACE FOODS INC
Trade Name	CAFE MARY GRACE
Address	2965 MAHOGANY STREET UNITED PARANAQUE SUBDIVISION II PARANAQUE CITY
Authorized Representative	ADRIAN P. DIMACALI, Director

THE LEASED AREA

Development	Area Code	Floor Area (in sqm)
SM CITY MASINAG	053b-053c, 054a-054b	180.8600 (approx.)

PERMITTED USES

40% Pasta, Salads, Sandwiches
20% Ensaymadas and Cheeserolls
20% Drinks
10% Lemon Squares
10% Cakes

LEASE PERIOD

Commencement Date	Termination Date
01 September 2022	31 October 2025

RENTAL RATES PER MONTH (exclusive of VAT)

Basic Rent / sqm	P 800.00	01 September 2022 - 31 August 2023
	P 880.00	01 September 2023 - 31 August 2024
	P 970.00	01 September 2024 - 31 October 2025
Percentage Rent	Five Percent (5.00%) of Gross Sales on Regular Sales	
Minimum Rent / sqm	P 1,000.00	01 December 2022 - 31 August 2023
	P 1,100.00	01 September 2023 - 31 August 2024
	P 1,210.00	01 September 2024 - 31 October 2025

Computation of Rental Charges:
[Basic Rent + % Rent on Regular Sales] or Minimum Rent, whichever is higher
Plus % Rent on Other Income (if applicable)

OTHER MONTHLY CHARGES (Rates are subject to adjustment by the Lessor from time to time)

Common Area	P 110.00 / sqm	Starting upon Turnover of Premises or 30 days before Commencement Date, whichever comes first
Pest Control	P 3.50 / sqm	
Electricity, Water	Based on actual consumption as reflected in meter reading, if applicable	
Chilled Water	Based on actual tonnage capacity, if applicable	

ADVERTISING AND DEPOSITS

Advertising/Year	P 30,000.00	
Security Deposit	P 868,128.00	01 September 2022
	P 954,940.80	01 September 2023
	P 1,052,605.20	01 September 2024
Advance Rent	P 144,688.00	01 September 2022
Construction Bond	P 100,000.00	

Any reference in the Lease Contract to any of the provisions (or the "Basic Provisions") summarized under Section I hereof, shall be deemed to refer equally to the relevant provisions of the Lease Contract from which said summary derives.

IN WITNESS WHEREOF, the parties have executed and delivered this Contract of Lease, this _____ day of _____ at _____, Philippines.

LESSEE

By:
ADRIAN P. DIMACALI
Director

LESSOR

By:
LUZ S. KUIZON
Authorized Representative

Or

SUZARA Y. TEE
Authorized Representative

Christine Joy Balinas-Aciwar
Finance Supervisor
Date: _____

WITNESSES:

CELYRICA V. CALAHATIAN

ACKNOWLEDGMENT

Republic of the Philippines)
_____)

At _____, Philippines, this _____ day of _____, personally appeared the following persons, with the following identification references:

Name	Competent Proof of Identity	Valid Until
SM PRIME HOLDINGS INC	TIN003058789	
LUZ S. KUIZON	TIN108728425	
SUZARA Y. TEE	TIN211903363	
MARY GRACE FOODS INC	TIN216682854	
ADRIAN P. DIMACALI	UMID011107773048	

Known to me and by me known to be the same persons who executed the foregoing Lease Contract and who acknowledged to me that the same constitutes their free and voluntary act and those of the corporations they respectively represent.

WITNESS MY HAND AND SEAL on the date and at the place first above written.

Doc No _____
Page No _____
Book No _____
Series of _____